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No. 98-822

IN THE

Supreme Court of the United States

FRIENDS OF THE EARTH, *et al.*,
Petitioners,

v.

LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent.

On Writ of Certiorari
to the United States Court of Appeals
for the Fourth Circuit

REPLY BRIEF FOR PETITIONERS

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INTRODUCTION

Laidlaw and its amici repeatedly claim that Laidlaw was diligently acting to bring itself into compliance and that the South Carolina Department of Health and Environmental Control ("DHEC") was vigorously enforcing Laidlaw's permit when plaintiffs, for no good reason, brought this litigation. *E.g.*, Resp't Br. 3, 5, 6-7. Nothing could be further from the truth. In fact, as of the time of plaintiffs' notice of intent to sue, Laidlaw had been violating its permit for over six years and DHEC had failed to bring an enforcement action to enforce the permit and penalize Laidlaw for its over 800 violations. Laidlaw's maximum potential penalty was in excess of $20,000,000. Pl. Pretrial Br. 29 (July 22, 1995).

After plaintiffs filed suit, Laidlaw employed the technology that the district court found it could, and should, have employed at least four years earlier. 956 F. Supp. at 599 (J.A. 155-156). Laidlaw also reduced the amount of mercury fed into its incinerator as a means of complying with its permit. *Id.* at 596 (J.A. 147). While Laidlaw had known for years that reducing the feed would reduce the severity of its violations (*see* Def. Exs. 54, 105, 144), it acted only after plaintiffs brought suit.

When Laidlaw received the notice of intent to sue from an organization well known for vigorous enforcement of the Act,[1/] Laidlaw set out to manufacture a preclusion defense. Since state suits can bar citizen suits if filed before the citizen suit (33 U.S.C. 1365(b)(1)(B)), Laidlaw sought and was able to convince DHEC to bring suit, before the 60-day notice period expired and plaintiffs could bring suit, despite DHEC's policy not to bring suit to bar citizen suits. 890 F. Supp. at 478-479 (J.A. 93-95). Laidlaw drafted DHEC's complaint, filed it and even paid the filing fee. *Id.* at 479 (J.A. 94). At the same time

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[1/] *See, e.g., PIRG and FOE v. Powell Duffryn Terminals Inc.*, 913 F.2d 64, 80-83 (3d Cir. 1990)(injunction and statutory maximum penalty over $4,000,000 imposed); *PIRG and FOE v. Witco Chemical*, D.N.J., Civ. No. 89-3146 (injunction and $10,000,000 penalty through a consent judgment).

that it filed the complaint, Laidlaw filed a consent decree settling the suit. *Ibid.*

When plaintiffs brought suit three days later, Laidlaw moved to dismiss. Although the district court rejected plaintiffs' allegation of collusion, it found that plaintiffs' suit was not barred under 33 U.S.C. 1365(b)(1)(B) because DHEC had not diligently prosecuted Laidlaw when it acceded to Laidlaw's request to be sued. 890 F. Supp. at 498 (J.A. 136). In addition to the unusual and accelerated procedures which denied plaintiffs an opportunity to intervene and participate in DHEC's suit, the district court found that DHEC's action was not diligently prosecuted because the consent decree did not even include an injunction requiring Laidlaw to comply with the law. 890 F. Supp. at 480, 489-490, 498 (J.A. 97, 117-120, 156). The district court also found DHEC's action lacking in diligent prosecution because the civil penalty imposed was too lenient under DHEC's penalty policy and failed to provide an adequate deterrent because it was too small even to remove the economic benefit Laidlaw enjoyed as a result of its noncompliance. *Id.* at 479-481, 491-492 (J.A. 95-98, 121-123).

Laidlaw and its amici seek to cast plaintiffs and other citizens as the villains rather than the victims of Laidlaw and other polluters' unlawful conduct. However, Congress has decided that "no one has the right to pollute – that pollution continues because of technological limits, not because of any inherent right to use the nation's waterways for the purpose of disposing of wastes" (S. Rep. No. 414, 92d Cong., 1st Sess. 42 (1971)) and that citizens play an integral part in ensuring that the Act's objective of "restor[ing] and maintain[ing] the chemical, physical, and biological integrity of the Nation's waters" is achieved (33 U.S.C. 1251(a); S. Rep. No. 50, 90th Cong., 1st Sess. 28 (1985)).[2/] Plaintiffs submit that it is against this

[2/]To the extent that there have been any abuses of the citizen suit provision, that is a matter for Congress to address. In any event, the issues in this case have nothing to do with the abuses alleged by amici.

background that this Court should decide the issues in this case.

ARGUMENT

I. PLAINTIFFS' PENALTY CLAIM IS NOT MOOT

A. *Gwaltney*, Not *Steel Co.*, Is Controlling

Laidlaw argues that the court of appeals properly dismissed this case on mootness grounds because plaintiffs were only pursuing civil penalty relief in which they had no personal stake. Resp't Br. 10. Laidlaw has no answer to the significance of this Court's decision in *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Foundation,* 484 U.S. 49 (1987). Like the court of appeals, Laidlaw assumes that the decision in *Steel Co. v. Citizens for Better Environment*, 118 S. Ct. 1003 (1998), decided the issue presented in this case. Resp't Br. 10-13. Laidlaw fails, like the court of appeals, to reconcile the court of appeals' decision with the decision in *Gwaltney*.[3/] Presumably, Laidlaw has not done so because it is impossible.[4/]

[3/]Amicus Hercules argues (p. 17) that *Gwaltney* is not controlling on the issue of mootness because this Court has previously held that it is not bound by questions of jurisdiction that have been passed on in prior decisions *sub silentio*. All four of the decisions cited are easily distinguished. Three, *Webster v. Fall*, 266 U.S. 507, 511 (1925), *Hagans v. Lavine*, 415 U.S. 528, 533 n. 5 (1974), and *Pennhurst State School & Hosp. v. Halderman,* 465 U.S. 89, 119 (1984), involved situations where the issue was not raised or briefed in the case asserted as precedent. That is not the case in *Gwaltney*. Both standing and mootness were raised in the briefing (*see* Pet. App. 37a-43a) and addressed by this Court. Since mootness was addressed by the Court and the case was remanded for further action by the court of appeals, this Court necessarily determined that *Gwaltney* was not moot. In the fourth case, *Illinois State Bd. of Elections v. Socialist Workers Party*, 440 U.S. 173, 180-181, 182 (1979), stating that "summary affirmances have considerably less precedential value than an opinion on the merits," this Court rejected use of a summary affirmance as precedent for anything other than the "precise issue[] presented * * *." Since *Gwaltney* was an opinion on the merits, it has full precedential value.

[4/]Laidlaw points to the statement in *Linda R.S. v. Richard D.*, 410 U.S.

B. The Penalties Imposed Benefit Plaintiffs because They Deter Laidlaw from Violating the Act

Laidlaw argues that plaintiffs have no personal stake in civil penalties because they are paid to the Treasury, not to plaintiffs. Resp't Br. 10. Laidlaw maintains that plaintiffs lack a personal stake because civil penalties cannot be "equated" with an injunction that "bars" the conduct that harms plaintiffs. *Id.* pp. 11, 21. However, the issue is not whether civil penalties are equal to an injunction or bar the defendant's conduct. Instead, the question is whether the relief requested serves to redress the plaintiffs' injury.

Laidlaw admits that penalties deter future violations. Resp't Br. 21. Laidlaw fails to explain why a civil penalty that serves to deter future misconduct is insufficient to provide plaintiffs with a personal stake. Where plaintiffs have made and proven an allegation of continuing violation,[5/] both injunctive relief and civil penalties protect the plaintiff from future misconduct by the defendant.

614, 619 (1973), that "in American jurisprudence at least, a private citizen lacks a judicially cognizable interest in the prosecution or nonprosecution of another" as support for its position that citizens have no interest in the exaction of penalties payable to the Treasury. Resp't Br. 19-20. This statement has no relevance here. *Linda R.S.* involved the standing of a woman seeking an order requiring the district attorney to prosecute the father of her illegitimate child for failure to provide child support. 410 U.S. at 615-616. The Court held that "given the special status of criminal prosecutions in our system," the plaintiff lacked standing. *Id* at 619. Although not technically a separation of powers issue involving branches of the federal government, the case raised analogous concerns about citizens using the judicial branch to force the executive branch to exercise its prosecutorial discretion. Such concerns are not at issue here.

[5/] A continuing or ongoing violation is a term of art in construing citizen suit provisions in environmental statutes, including the Clean Water Act. It means an ongoing violation at the time of the complaint. *Gwaltney*, 484 U.S. at 64-66. It is not restricted, as amici have suggested, to a state of violation at the time the district court awards relief.

This Court has stated that civil penalties are an alternative to injunctive relief in ensuring compliance with the Act. *Weinberger v. Romero-Barcelo*, 456 U.S. 305, 314 (1982). *See also United States v. Midwest Suspension and Brake*, 824 F. Supp. 713, 738 (E.D. Mich. 1993), aff'd, 49 F.3d 1197 (6th Cir. 1995)(citing *Weinberger*, court explained that it denied an injunction because the penalty imposed was designed to deter future violations). Laidlaw admits that injunctive relief deters violations and therefore provides redressability. Resp't Br. 10, 11, 15, 21. In fact, civil penalties are an even better deterrent to future permit violations than injunctive relief because the negative financial impact on the violator is more immediate from civil penalties. For example, if there are two violators with the same types of violations and one is enjoined and another is assessed a civil penalty, the violator assessed a penalty is more likely to be deterred from future violations because he has suffered an economic loss designed to remove the economic advantage he has gained from his noncompliance. Three factors work to deter his future violations: (1) the sting of paying the civil penalty, (2) the realization that he cannot benefit economically from noncompliance, and (3) the fear that any penalty for further violation is likely to be more significant (*see* 33 U.S.C. 1319(d)(history of violation to be considered in assessing a penalty)).

In comparison, the violator who has been enjoined has not suffered an economic loss for his noncompliance. He has actually enjoyed an economic benefit. During the life of the injunction, his compliance is secured through the threat of a monetary payment in the form of a contempt sanction. However, civil contempt allows the court only to threaten the violator with a future penalty if he violates the permit again.[6/] Thus, the violator who paid the penalty suffered a more

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[6/] Criminal contempt is rarely imposed. Plaintiffs know of no violation of an injunction under the Clean Water Act ever being punished through criminal contempt.

immediate and significant financial impact and is more likely to be deterred from further violations. Presumably, that is why Congress decided that the statute should be enforced through civil penalties of up to $27,500 per violation. 33 U.S.C. 1319(d); 40 C.F.R. §19.4 (1999).

In a twist of logic, Laidlaw argues that civil penalties serve to deter only when there is the threat that they will be imposed and that the specific deterrent effect is lost once the penalties are exacted. Resp't Br. 20-21. However, "specific or special deterrence aims to change a particular individual's behavior through negative reinforcement." *Bae v. Shalala,* 44 F.3d 489, 494 (7th Cir. 1995). Negative reinforcement occurs through the payment of the penalty, not the fact that the statute threatens a civil penalty for violation. *See* Block, *The Deterrent Effect of Antitrust Enforcement*, 89 J. Pol. Econ. 429, 443-444 (1981). A penalty that is on the books, but never enforced, obviously provides no deterrent at all.[7/]

C. Closure of the Facility Does Not Moot this Case

Laidlaw contends that this case is moot because the facility is shut down. Resp't Br. 24. Plaintiffs have shown that Laidlaw has deliberately retained its NPDES permit and therefore has the legal right to resume discharging at any time it chooses to do so. Pet'r Resp. to Sugg. of Mootness, pp. 6-7. Moreover, Laidlaw has recently violated its permit. Under its permit, Laidlaw continues to be responsible for filing monitoring

[7/] EPA has recognized the effect of civil penalties in removing the incentive for dischargers to violate the law (Pl. Ex. 108, p. 3):

> The first goal of penalty assessment is to deter people from violating the law. Specifically, the penalty should persuade the violator to take precautions against falling into noncompliance again (specific deterrence) and dissuade others from violating the law (general deterrence). Successful deterrence is important because it provides the best protection for the environment. In addition, it reduces the resources necessary to administer the laws by addressing noncompliance before it occurs.

reports. Laidlaw has failed to file one of the required reports. App. 12a-13a. In June 1999, the State issued a notice of violation for the delinquent report. App. 12a. At the very least, this violation establishes that plaintiffs' claim based on monitoring and reporting violations is not moot.

Even if Laidlaw never resumes discharging at the facility, Laidlaw and its corporate affiliates own at least four other facilities which have recently violated their NPDES permits. App. 14a-15a. Plaintiffs have members whose interests in the involved waterways have been harmed by these unlawful discharges. App. 12a, 16a-17a. The penalty imposed by the district court will therefore serve as a specific deterrent to this violator from committing such violations in the future.[8/]

[8/] If closure of the facility moots review of the court of appeals' judgment by this Court, this Court should vacate the court of appeals' judgment and restore the judgment of the district court. A party is entitled to retain the benefit of the judgment entered in his favor by the district court where further review of the court of appeals decision reversing that judgment cannot be had by virtue of the actions of his adversary. *Walling v. James V. Reuter, Inc.*, 321 U.S. 671 (1944). In *Walling*, the district court entered judgment for the plaintiff, the court of appeals reversed and certiorari was granted. *Id.* at 672. While the court of appeals' judgment was under review by this Court, the defendant corporation dissolved. *Id.* at 672-673. This Court determined that although it could not review the judgment due to mootness, it could "make such disposition of the whole case as justice may require." *Id.* at 677. "By reason of [the defendant's voluntary dissolution], the judgment of the Circuit Court of Appeals, which is not final because the case is pending in this Court, cannot rightly be made the implement for depriving petitioner of the benefit of his judgment in the District Court." *Ibid.* Accordingly, this Court vacated the court of appeals judgment and restored the district court judgment so that the plaintiff was free to take whatever action was available to enforce the judgment of the district court. *Id.* at 677-678. Here, justice requires that Laidlaw not be allowed to deprive plaintiffs of the district court judgment, and thus avoid the civil penalties imposed for its unlawful conduct, as a result of its action to close the plant before final review of the court of appeals' judgment could be had. *See also U.S. Bancorp Mortgage Co. v. Bonner Mall Partnership*, 513 U.S. 18, 24-25 (1994).

II. PLAINTIFFS' DECLARATORY JUDGMENT CLAIM IS NOT MOOT

Plaintiffs have shown that their injuries were redressed by the district court's issuance of a declaratory judgment. Pet'r Br. 40-42. Laidlaw responds that the plaintiffs' obtaining of a declaratory judgment does not prevent the case from being moot because plaintiffs received only a "judicial statement that does not affect the relationship between the plaintiff and the defendant" which is not equivalent to a declaratory judgment. Resp't Br. 18 (quoting *Hewitt v. Helms*, 482 U.S. 755, 761 (1987)). However, unlike in *Hewitt*, the finding of liability in this case changed the legal relationship between the parties because the district court declared that Laidlaw had violated its permit and hence the Clean Water Act. This is clearly more than simply an "incidental" judicial statement because it collaterally estops Laidlaw from arguing in the future that the same kinds of discharges are not violations of its permit.

III. PLAINTIFFS HAVE STANDING

Laidlaw argues that even though the court of appeals' decision was correct, the district court lacked jurisdiction from the outset of the case because plaintiffs lacked standing. Resp't Br. 35-38. Laidlaw appealed the district court's finding on standing, but the court of appeals did not reach the issue because it concluded that the case was moot. Certiorari was not sought or granted on this issue. Since the issue was not reached by the court of appeals and it involves questions of fact, it would be appropriate for this Court to remand this issue to the court of appeals. *E.g., Ruhrgas v. Marathon Oil Co.*, 119 S.Ct. 1563, 1572 n. 8 (1999)(remanded for review of personal jurisdiction); *Carden v. Arkoma Assoc.*, 494 U.S. 185, 197 (1990) (remanded for review of diversity jurisdiction); *Planned Parenthood of Central Missouri v. Danforth*, 428 U.S. 52, 62 n. 2 (1976) (remanded for determination of whether one plaintiff had standing to challenge portion of the Act where

other plaintiffs were found to lack standing); *Tunstall v. Brotherhood of Locomotive Firemen & Enginemen*, 323 U.S. 210, 214 (1944) (remanded for consideration of other jurisdictional questions).[2/] In the event that this Court reaches this issue rather than following its practice of remanding under these circumstances, plaintiffs show below that they have Article III standing.

A. Citizens Have Standing to Pursue Civil Penalties

Laidlaw contends that, under this Court's decisions, it is doubtful that citizens ever have standing to seek civil penalties since they are payable to the U.S. Treasury. Resp't Br. 29. Under this Court's decisions in *Gwaltney* and *Steel Co.*, there is no doubt that citizens have Article III standing to pursue civil penalties where they have alleged an ongoing violation and seek injunctive relief even if injunctive relief is ultimately denied. In *Gwaltney*, a case identical to this case in all relevant aspects, this Court found standing where the plaintiffs had alleged an ongoing violation, sought an injunction and been denied an injunction and the only relief viable at the time the case reached this Court was the civil penalty. 484 U.S. at 64-66. The petitioner in *Gwaltney* had raised exactly the issue presented by Laidlaw, arguing that "it would appear that penalties payable to the Treasury can *never* redress injury to citizen plaintiffs * * *" (emphasis in original). Pet. App. 40a. The standing determination in *Gwaltney* was reaffirmed in *Steel Co.* 118 S.Ct. at 1011.

In *Steel Co.*, the briefing on the issue of whether the plaintiff could satisfy the redressability prong of the constitutional standing test also addressed the issue raised by Laidlaw. *See* Pet'r Br. 37-42 and Resp't Br. 27-38, *Steel Co.*, 118 S.Ct. 1003

[2/] Laidlaw also claims that the issue of preclusion involves jurisdiction. Resp't Br. 35, 38. However, preclusion is a question of whether plaintiffs have a cause of action under the statute. *Steel Co.*, 118 S. Ct. at 1010-1014.

(1998)(No. 96-643). This Court did not hold in *Steel Co.* that civil penalties may never be awarded to citizens due to a lack of redressability. It held that civil penalties do not satisfy the requirement of redressability where the citizen did not allege a continuing violation and thus there was no threat of future violation for the penalties to deter. 118 S. Ct. at 1018-1020. If the Court had intended *Steel Co.* to foreclose all civil penalties in citizen suits, it surely would have stated so in clear terms and explained that it was overruling *Gwaltney*.[10]

B. Plaintiffs Have Shown Injury-in-Fact

Laidlaw argues that plaintiffs lack standing because there is no demonstrated proof of harm to the waterway. Resp't Br. 35. Injury-in-fact for standing does not require demonstrated proof of harm to the environment. Instead, it requires proof of "*a harm suffered by the plaintiff*" (emphasis added). *Steel Co.*, 118 S.Ct. at 1016. In *Sierra Club v. Morton*, this Court stated that the injury would be felt only by those who use the park in question and "for whom the aesthetic and recreational values of the area will be lessened by the highway and ski resort." 405 U.S. 727, 735 (1972). The Court further said (*id.* at 740):

> The requirement that a party seeking review must allege facts showing that he is himself adversely affected * * * * does serve as at least a rough attempt to put the decision as to whether review will be sought in the hands of those who have a direct stake in the outcome.

In *Lujan v. Defenders of Wildlife*, 504 U.S. 555, 560 (1992), this Court said that "the plaintiff must have suffered an 'injury in fact' * * *" in order to have standing. The Court looked at whether the plaintiffs, not the wildlife they sought to protect,

[10] In the alternative, Laidlaw contends that even if citizens have standing to pursue civil penalties, penalties may be awarded to citizens only as an adjunct to injunctive relief. Resp't Br. 32. Since this Court dealt with that issue in *Gwaltney* as well, there is no need to address this argument separately.

would be injured. *See id.* at 561-567. Citing *Sierra Club v. Morton*, the Court in *Lujan* said: "Of course, the desire to use or observe an animal species, even for purely esthetic purposes, is undeniably a cognizable interest for purpose of standing." 504 U.S. at 562-563. Plaintiffs have therefore satisfied the injury-in-fact requirement if they show that their enjoyment of the waterway has been lessened.

Plaintiffs have done exactly that. They have shown that their members use or would use the river and that their enjoyment of such use is adversely affected or interfered with as a result of Laidlaw's excessive mercury discharges – some more than 1,000% over the permit limit. J.A. 185-196. For example, CLEAN member Judy Pruitt lives approximately one-quarter mile from Laidlaw's facility. Pruitt Aff. ¶2. She enjoys outdoor activities with her family including fishing, hiking and picnicking. *Id.* ¶3. Although she would like to undertake these activities on or near the river downstream of Laidlaw's discharge because it is close to her home, she avoids undertaking these activities there because of Laidlaw's discharge of mercury and other harmful pollutants. *Ibid.* Although she frequently eats fish, she does not eat fish caught in the river downstream of Laidlaw's discharge because she is afraid that the fish contain mercury and other contaminants discharged by Laidlaw. *Id.* ¶4. If the river were cleaner, she would use the river for these activities. *Id.* ¶¶3, 8. Her efforts to work with DHEC to enforce Laidlaw's NPDES permit were consistently frustrated by DHEC's unwillingness to force Laidlaw to comply with its permit. *Id.* ¶7. Ms. Pruitt's interests in the river are clearly interfered with by Laidlaw's unlawful discharges. *See also* Pet'r Br. 6.

The injury-in-fact test recognizes the fact that plaintiffs often suffer economic injuries based on the public perception, rather than concrete proof, that a body of water has been harmed by pollution. For example, CLEAN member Gail Lee testified that her home, which is near Laidlaw's facility, has a lower value

than similar homes located further away from Laidlaw's facility. Lee Aff. ¶¶2, 4. FOE member Kenneth Lee Curtis likewise testified that Laidlaw's unlawful discharges have "negatively affected the property value of his home" which is approximately one-half mile from the facility. Curtis Aff. ¶¶2 8. Angela Patterson testified that she and her husband would like to purchase a home in Roebuck near the river, but will not do so because of the pollutants discharged by Laidlaw. Patterson Aff. ¶9. These perceptions are hardly unreasonable in view of the fact that mercury is an "extremely toxic pollutant." 956 F. Supp. at 601 (J.A. 160). Perceptions like that of Ms. Patterson and her husband, regardless of demonstrated proof of harm, result in injury to the economic interests of homeowners like Ms. Lee.

This Court has made clear that proof of harm to the waterway from the illegal discharges is not needed for standing. In *Weinberger*, *supra*, a citizen suit under the Water Act, this Court proceeded on the issue of whether the district court should have enjoined continued operations pending receipt of an NPDES permit, even though the district court found no harm to the waterway. *See* 456 U.S. at 307-320. This Court would not have proceeded without standing. *See Steel Co.*, 118 S.Ct. at 1009-1016. Therefore, demonstrated proof of harm to the waterway is not a requisite for standing.

Moreover, Congress has determined that all pollutant discharges are harmful. In enacting the Clean Water Act, Congress prohibited the discharge of all pollutants. 33 U.S.C. 1311(a). However, recognizing that it would not be possible to eliminate all pollutant discharges immediately, Congress provided for phased elimination, whereby increasingly more stringent restrictions on discharges are imposed as technology advances. *See* 33 U.S.C. 1251(a) and 1311. In a dissent to a recent Fourth Circuit decision holding that plaintiffs in a citizen suit under the Water Act had not suffered injury-in-fact and therefore did not have standing, Chief Judge Wilkinson stated

(*FOE v. Gaston Copper Recycling Co.*, 1999 WL 351165 *11-12, reh'g granted, Aug. 3, 1999):[11/]

> Gaston Copper's permit violations ipso facto pose a concrete threat to the receiving waters within the range of its discharge, including the lake on Shealy's property. By establishing that Gaston Copper is polluting Shealy's nearby water source, CLEAN has proven an increased risk to its member's downstream uses. This threatened injury is sufficient to provide injury in fact.
>
> The majority would, however, require evidence that it can touch and feel before it is willing to acknowledge Shealy's threatened injury. But the Constitution does not require Shealy to wait until his lake becomes "barren and sterile" or assumes an "unpleasant color and smell" before he may seek relief in court. Nor must Shealy produce tests to prove that his injury is imminent. Indeed, he cannot -- for if an injury is threatened it by definition has not yet occurred.
>
> Citizens can rely on circumstantial evidence such as proximity to polluting sources, predictions of discharge influence, and past pollution to prove injury in fact, just as they would to prove any other contested issue. To require Shealy to fish individual copper molecules out of his lake and haul them into court serves no useful purpose, spawns complicated litigation, and undermines the protections Congress sought to provide in the Clean Water Act. [internal citation and footnote omitted]

Even if proof of harm to the waterway from Laidlaw's discharges was required, there is such proof here. First, permit limitations are generally based on available technology. 33 U.S.C. 1311(b). However, when necessary to protect a body of water, permit limitations, more stringent than those based on

[11/] The United States joined with the plaintiffs in *Gaston Copper* to urge the Fourth Circuit to rehear that case *en banc*. *See* App. 1a-10a.

technology, are established in order to meet ambient water quality standards. 33 U.S.C. 1312(a). Ambient water quality standards are designed to protect the nation's waters and support designated uses of waterways.[12/] *See* 33 U.S.C. 1312, 1313. Since water quality based permit limitations are designed to ensure that the receiving water meets the ambient water quality standards, any violation of a water quality based limitation harms the receiving water. *PIRG v. Powell Duffryn Terminals, Inc.*, 720 F. Supp. 1158, 1162 (D.N.J. 1989), aff'd in part and rev'd in part on other grounds, 913 F.2d 64 (3d Cir. 1990).

Laidlaw's mercury limitation is water quality based.[13/] 956 F.

[12/]The designated uses of the North Tyger River are fishing and propagation of a balanced indigenous aquatic community of fauna and flora, primary and secondary contact recreation, drinking water supply, and agricultural and industrial uses. S.C. Reg. 61-68 G(8).

[13/]Laidlaw and its amici repeatedly refer to the fact that the mercury limitation in Laidlaw's permit was relaxed from 1.3 ppb to 10 ppb during the litigation in the district court and suggest that this demonstrates that plaintiffs' suit was unfounded because Laidlaw would have committed very few violations when its violations are compared to the 10 ppb limitation. *E.g.*, Resp't Br. 7 n. 3. They fail to mention that when DHEC changed Laidlaw's maximum daily limit from 1.3 ppb to 10 ppb, it also imposed for the first time a monthly average mercury limit. 956 F. Supp. at 596 (J.A. 148). The monthly average limit DHEC imposed was 1.25 ppb. *Ibid.* The record shows that if the 1.25 ppb monthly average limit had been in Laidlaw's permit since 1987, Laidlaw would have violated its permit on 282 *more* days than it actually did. *Compare* Pl. Ex. 151 (showing 711 days of violation based on an assumed monthly average permit limit of 1.3 ppb) and Pl. Ex. 131 (showing 60 additional days of violation based on an assumed monthly average permit limit of 1.25 ppb) *with* 956 F. Supp. at 600, 621 n. 10 (J.A. 158, 196 n. 10) (showing 489 days of violation based on the actual 1.3 ppb daily maximum limitation). *See also Chesapeake Bay Foundation v. Gwaltney of Smithfield*, 791 F.2d 304, 313-315 (4th Cir. 1986), vacated on other grounds, 484 U.S. 49 (1987), on remand, 844 F.2d 170 (4th Cir. 1988), judgment reinstated, 688 F. Supp. 1078 (E.D. Va. 1988), aff'd in part, rev'd in part on other grounds, 890 F.2d 690 (4th Cir. 1989).

Supp. at 595 (J.A. 146). Plaintiffs' expert calculated the mercury level in the river from 1987 to 1992 using the mercury discharged by Laidlaw and the river's flow. 1993 Tr., vol. II, pp. 194-195; Pl. Ex. 88, pp. 11-12. He determined that Laidlaw's discharges alone (not considering any other sources of mercury in the river) caused the mercury in the river to exceed the water quality standard at least 134 times, by as much as three times the allowable level. 1993 Tr., vol. II, pp. 195-196; Pl. Ex. 88, p. 12. His testimony was unrebutted. Since the water quality standard was set at the level needed to protect the river and its designated uses, the numerous violations of the standard harmed the river.[14/]

Although Laidlaw wants this Court to believe that the change from 1.3 ppb to 10 ppb is significant, this change actually was of very little, if any, importance from the standpoint of Laidlaw's compliance. Despite the apparent large increase in the amount of mercury that could be discharged on a particular day, this change did not allow Laidlaw to increase significantly its total mercury discharge. This is because the 1.25 ppb monthly average limitation is now the controlling factor in Laidlaw's discharge of mercury. Under the 1.25 ppb limit, the most mercury Laidlaw can discharge in a month and remain in compliance with its monthly average limit is 37.5 ppb (1.25 ppb x 30 days), which is less than the 39 ppb it could discharge in a month under its old permit (1.3 ppb x 30 days). If Laidlaw has only one day at or near its 10 ppb daily maximum limit, it will have used up a substantial portion of its total monthly mercury discharge allotment and will have to keep its discharge below 1.25 ppb on the remaining days of the month to avoid violating its monthly average limitation.

[14/]The district court found, in discussing the significance of Laidlaw's violations as part of its penalty assessment, that "the water quality standard for mercury is *currently* being attained in the North Tyger River and * * * the overall quality of the river exceeds levels necessary to support propagation of fish, shellfish, wildlife, and recreation in and on the water" (emphasis added). 956 F. Supp. at 600 (J.A. 156). When that finding was made in 1997, Laidlaw had come into compliance with its permit. *See id.* at 611 (J.A. 183). It is to be expected that the water quality standard is attained if a water quality based permit limitation is complied with since the purpose of a water quality based permit limitation is to ensure that the

Second, in assessing a civil penalty, the district court is required to consider the seriousness of the violations. 33 U.S.C. 1319(d). As part of determining how much the penalty should reflect the seriousness of the violations, the district court here found that there was "no showing of any significant harm to the environment" and "no demonstrated proof of harm to the environment." 956 F. Supp. at 600, 603 (J.A. 157, 164). Laidlaw relies on such statements by the district court in the penalty assessment to support its argument that plaintiffs lack standing. *See* Resp't Br. 35-36. These findings do not show an absence of harm to the waterway. They only show that there was no showing of harm to the waterway significant enough to justify an increase in the penalty to be assessed.[15/]

ambient water quality standard is met.

The district court's finding is not inconsistent with its finding that plaintiffs have standing. The relevant facts for standing are those that existed at the time the lawsuit was filed. *E.g., Lujan,* 504 U.S. at 569 n. 4. Laidlaw violated its mercury limitation 123 times in 1992, the year this suit was filed. 956 F. Supp. at 600 (J.A. 158). Dr. Bell concluded that the water quality standard for the river was violated in 1992. Pl. Ex. 88, Table 6. Since the water quality standard was not being attained when this suit was filed, the river was being harmed.

[15/]Laidlaw and its amici refer to the fact that the district court found that plaintiffs' selection of the value range of 1-10 from EPA's civil penalty policy constituted an acknowledgment by plaintiffs that there was no risk of environmental harm. Resp't Br. 36 n. 28. *See* 956 F. Supp. at 601-602 (J.A. 161). Plaintiffs recommended to the district court that it rely on EPA's penalty policy to guide its assessment of the seriousness of Laidlaw's discharge violations. *Ibid.* Plaintiffs proposed that, from EPA's "value range" of 1-10 for violations of water quality based discharge limitations, a value of 10 be assigned to each of Laidlaw's violations. Pl. Pretrial Br. 41 (July 22, 1995). Plaintiffs proposed that the district court use the value range for violations of water quality based discharge limitations because it was the only range from the policy having any relationship to this case. *See* Pl. Ex. 129, p. 9. The other ranges are for interference with drinking water supplies, risks to subsistence fishing, fish kills, beach closings and a general range of other impacts on the aquatic environment. *Ibid.* Plaintiffs recommended that the district court use 10, the highest value

The district court found that there was "no *demonstrated* adverse affect on the environment" from Laidlaw's discharges (emphasis added). 956 F. Supp. at 603 (J.A. 164). This does not mean that there was no adverse effect on the environment. Congress has determined that all pollutant discharges are harmful and affect our ability to "restore and maintain the chemical, physical and biological integrity of the Nation's waters." 33 U.S.C. 1251(a). The district court's finding merely means that none of the evidence available proved specific adverse effects.[16/] The difficulty, indeed often the impossibility, of making such a demonstration was what lead Congress totally to revamp the regulation of water pollution in 1972 by shifting the focus of regulation from the water body to the end of the discharge pipe. Congress made this shift because of the uncertainty of the relationship between water bodies and pollutant loadings and the difficulty of being able to prove that a particular source was responsible for particular conditions in the waterway. *See* S. Rep. No. 414, *supra,* pp. 7-8, 42; S. Rep. No. 233, 98th Cong., 1st Sess. 2-3 (1983). To require a citizen seeking to invoke federal court jurisdiction to prove as a preliminary matter that the receiving waters were significantly

from the range, based on the fact that Laidlaw's excessive discharges were numerous, consistent and caused the water quality standard to be exceeded. Pl. Pretrial Br. 41-44. The district court held that plaintiffs' selection of the value range of 1-10 constituted an acknowledgment that there was no risk of environmental harm. 956 F. Supp. at 601-602 (J.A. 161). However, a value range of 1-10, although lower than the range EPA selected for other types of harm, assumes environmental harm and a value of 10 obviously assumes more harm than a lower value within this range. *See* Pl. Ex. 129, p. 9.

[16/]The district court's finding that there was a lack of proof showing an adverse affect is entirely different than the finding in *PIRG v. Magnesium Elektron Inc.,* 123 F.3d 111, 122-123 (3d Cir. 1997), that the evidence affirmatively showed no harm from the discharge. In this case, there has been no overall study of the impact of the discharge. Instead, there are only limited tests, none of which demonstrated an adverse affect.

harmed by a particular discharger would mean that citizens could not sue to protect and maintain waters, particularly those that are still relatively clean.[17/]

IV. PLAINTIFFS ARE NOT PRECLUDED FROM BEING AWARDED ATTORNEYS' FEES EVEN IF THIS CASE IS HELD TO BE MOOT

A. *Farrar* Did Not Overrule the Catalyst Rule

This Court has recognized the catalyst rule -- *i.e.*, the rule that a plaintiff has prevailed for purposes of obtaining attorneys' fees when a lawsuit has been a catalyst for a voluntary change in a defendant's conduct. *See* Pet'r Br. 44-46. Laidlaw argues that *Farrar v. Hobby*, 506 U.S. 103 (1992), "necessarily

[17/]Plaintiffs also have standing to pursue the monitoring and reporting violations for which the district court found Laidlaw liable. The NPDES system, which regulates discharges until technology is sophisticated enough to eliminate all discharges, is predicated on self-monitoring. S. Rep. No. 414, *supra*, pp. 42, 62. Each NPDES permit requires the permitholder to monitor its discharges in a specified manner and to report the results of such monitoring to the regulatory authorities. 33 U.S.C. 1318, 1342(a)-(b). Those authorities, in turn, are required to make the monitoring information available to the public. 33 U.S.C. 1318(b). Laidlaw's failure to comply with the monitoring and reporting requirements of its permit denied plaintiffs and their members information about the levels of pollutants being discharged into the river in their community. Plaintiffs' members have asserted that they are interested in obtaining correct information about the pollutants discharged into the river so that they can make decisions regarding their use of the river and its environs. *See, e.g.*, Lee Aff. ¶8; Patterson Aff. ¶11. This Court has recognized that an individual who is denied information to which he has a statutory right has suffered an injury-in-fact and has standing to sue. *Federal Election Comm'n v. Akins*, 118 S. Ct. 1777, 1784 (1998).

Laidlaw focuses on the district court's finding regarding the seriousness of the monitoring and reporting violations and argues that since there was not "some material nondisclosure or environmental consequence traceable to the failure to report," standing does not exist. Resp't Br. 37. The district court's findings regarding the seriousness of these violations for purposes of determining the appropriate penalty for the violations is irrelevant to Article III standing.

supersedes" the line of decisions recognizing the catalyst rule because *Farrar* spoke in terms of a "judgment or settlement." Resp't Br. 43. Laidlaw fails to explain why the Court would have overruled the catalyst rule in a case where that rule was not at issue or without making it clear that it was doing so. *See* Pet'r Br. 46-47. Laidlaw also fails to address the decisions of ten Circuits finding that *Farrar* did not overrule the catalyst rule. *See id.* at 48-49.[18/]

Laidlaw argues that the catalyst rule may require a "satellite litigation." Resp't Br. 44. However, the Circuits that apply the catalyst rule have made the straightforward factual determination required by the catalyst rule -- *i.e.*, whether a change in a defendant's behavior was brought about by a lawsuit or some other factor -- and have expressed no concerns about doing so.

B. Whether this Lawsuit Was a Catalyst Should Be Decided in the First Instance by the District Court

Laidlaw contends that, even if the catalyst rule is intact, this lawsuit was not a catalyst for it to comply with its permit. Resp't Br. 44-46. That factual determination should be made in the first instance by the district court. Plaintiffs simply seek

[18/]Laidlaw argues that, if this Court remands to the court of appeals for a determination of whether there was standing at the outset of the litigation, it should not rule on the fees issue at this time. Resp't Br. 42. However, if the Court affirms the court of appeals' decision on mootness, a ruling on standing will be necessary only as an antecedent to a ruling on fees. *See ibid.* It would be a waste of judicial resources for this Court to remand for a ruling on standing since the court of appeals will rule against plaintiffs as to fees regardless of its determination on standing based on its earlier decision that citizens are not entitled to fees when a case becomes moot. Instead, if the Court decides against plaintiffs as to mootness, plaintiffs submit that the Court should consider the fees issue and remand for a ruling on standing only if it rules for plaintiffs on the fees issue. *Cf. U.S. Bancorp*, 513 U.S. at 21-22 (a federal appellate court may rule on ancillary matters even when it has determined that Article III jurisdiction is lacking).

a ruling reversing the decision of the court of appeals that plaintiffs are precluded from any recovery of attorneys' fees if their claims are moot.

Laidlaw suggests that the district court has already determined that this lawsuit was not a catalyst for Laidlaw's compliance. Resp't Br. 45-46. Since the district court has not ruled on plaintiffs' entitlement to attorneys' fees (*see* Resp't Br. 7), it could not possibly have made that determination.

Laidlaw quotes a portion of the district court's relief decision stating that enforcement efforts made by DHEC led to Laidlaw's "ultimate compliance with its permit over an extended period of time." Resp't Br. 46 (quoting J.A. 163). That quotation has been taken out of context. The district court was addressing the seriousness of Laidlaw's reporting and monitoring violations and, in that context, found that those violations did not interfere with DHEC's enforcement efforts. *See* 956 F. Supp. at 602 (J.A. 161-163). The court was not addressing the issue of whether this lawsuit was a catalyst for Laidlaw's compliance. *Id.* at 602-603 (J.A. 162-163).

Moreover, as we have shown above (pp. 1-2), the district court has found that DHEC's enforcement efforts were inadequate.

CONCLUSION

It is respectfully submitted that the decision of the court of appeals should be reversed and the case remanded for consideration of the issues presented in the parties' appeals to that court.

Respectfully submitted,
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APPENDIX

IN THE UNITED STATES COURT OF APPEALS
FOR THE FOURTH CIRCUIT

No. 98-1938

Friends of the Earth, Inc. and Citizens Local Environmental Action Network, Inc.

Plaintiffs/Appellants,

v.

Gaston Copper Recycling Corp., et al.

Defendant/Appellant.

ON APPEAL FROM THE UNITED STATES COURT FOR THE DISTRICT OF SOUTH CAROLINA

BRIEF OF THE UNITED STATES AS AMICUS CURIAE IN SUPPORT OF REHEARING EN BANC

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[Tables of contents and authorities omitted]

INTEREST OF THE UNITED STATES

Pursuant to Fed. R. App. P. 29(a), the United States files this amicus curiae brief because this case presents an issue of substantial importance to the United States. The United States, in cooperation with the individual States, has primary responsibility for implementing and enforcing the Clean Water Act (CWA), 33 U.S.C. § 1251 et seq. The United States is also a potential defendant in citizen enforcement actions against federal facilities. See CWA § 309, 33 U.S.C. § 1319. The present case concerns the ability of citizens to establish standing to sue under the Act. The standard set forth in the panel's opinion would significantly restrict citizens' ability to enforce the environmental laws. Thus, the resolution of this case will have a direct and substantial effect on enforcement of the Act.

SUMMARY OF ARGUMENT

Congress intended to grant citizens standing to sue under the Clean Water Act to the full extent permitted by the Constitution. By imposing unduly stringent evidentiary burdens on the citizen-plaintiffs, the panel's analysis thwarts this Congressional intent and irreconcilably conflicts with decisions in other circuits.

As to injury in fact, the panel effectively required direct evidence of injury, disregarding the circumstantial evidence of injury proffered by the plaintiffs. In doing so, it ignored the rule that a plaintiff may ordinarily rely on circumstantial evidence to make a showing required by law, and disregarded applicable authority from the Supreme Court and other circuits.

As to traceability, the panel improperly insisted that plaintiffs provide scientific evidence as to the transport of pollutants. It declined to credit the plaintiffs' evidence, which relied on reasonable inferences and circumstantial proof. This holding conflicts with precedent from other circuits.

The effect of the panel opinion is to require plaintiffs to present substantial amounts of scientific evidence unrelated to their case in order to establish standing. This will lead to "expensive, lengthy sideshows to the straightforward issue under the Clean Water Act - namely, whether a defendant is violating its discharge permit." Slip op. at 9 (dissenting opinion of Chief Judge Wilkinson).

ARGUMENT

I. CONGRESS INTENDED THAT CITIZENS HAVE STANDING TO SUE UNDER THE CLEAN WATER ACT TO THE FULL EXTENT PERMITTED BY THE CONSTITUTION

The text of the Clean Water Act permits suit by "any citizen," which is defined to mean "a person or persons having an interest which is or may be adversely affected." 33 U.S.C. § 1365(a), (g). The language of this provision was drawn from the Supreme Court's decision in Sierra Club v. Morton, 405 U.S. 727, 740 (1972), which required that a plaintiff "allege facts showing that he is himself adversely affected" by the challenged decision. See H.R. Conf. Rep. No. 92-1465 at 146 (1972) (stating that Congress had based the language of section 1365(g) on Sierra Club v. Morton). Thus, in drafting the Clean Water Act's citizen suit provision, it appears that Congress intended to extend the citizen suit remedy as far as the Constitution permitted.[1/] The Supreme Court reviewed the foregoing legislative history in Middlesex County Sewerage Auth. v. National Sea Clammers Ass'n, 453 U.S. 1, 16-17 (1981), concluding that the language of section 1365 was intended to allow suit by a "broad category of potential plaintiffs." See also Lujan v. Defenders of Wildlife, 504 U.S.

[1/] Although the Court's decision in Sierra Club v. Morton involved an interpretation of the text of the Administrative Procedure Act, the Court made clear that it was informed by constitutional considerations. See id. at 740 & n.16.

555, 580 (1992) (Kennedy, J., concurring) ("In my view, Congress has the power to define injuries and articulate chains of causation that will give rise to a case or controversy where none existed before.").

Extending citizen standing under the Act to the limits permitted by the Constitution is also necessary to effectuate the Act's other purposes. As appellants explain in detail in their petition for rehearing en banc, an important reason for the Clean Water Act's shift from water quality standards to end-of-pipe standards was to eliminate the need to address questions of causation and injury in enforcement proceedings. See Petition for Rehearing En Banc at 6-9.

II. THE PANEL IMPROPERLY REQUIRED PLAINTIFFS TO PROFFER DIRECT EVIDENCE IN ORDER TO ESTABLISH INJURY IN FACT

As to injury in fact, the panel demanded that plaintiffs either provide scient studies of the waters used by plaintiffs, see op. at 6 (noting th sence of "toxicity tests, or test or studies of any kind," of those waters), or show an "observable negative impact" on those waters or the surrounding ecosystem. Op. at 6. This requirement, which effectively barred the plaintiffs from proving injury in fact through circumstantial evidence, lacks any basis in applicable law.

It is permissible for a plaintiff to base a showing of injury in fact (or some other element of standing) on reasonable probabilities or inferences. Plaintiffs need not necessarily adduce direct evidence, and may instead rely on circumstantial evidence in establishing standing, as they may in making any other legally required showing. See United States Postal Service v. Aikens, 460 U.S. 711, 714 n.3 (1983) (in rejecting a requirement of direct evidence in an employment discrimination case, stating that plaintiff could elect to rely on circumstantial evidence alone, "[a]s in any lawsuit."). In criminal cases, the government may rely on circumstantial evidence to show guilt

beyond a reasonable doubt. See 2 Charles A. Wright, Federal Practice and Procedure § 411 at 479-86 (1982). Circumstantial evidence thus must necessarily be admissible in making the substantially lesser showing required for standing.

For example, in Duke Power Co. v. Carolina Env. Study Group, 438 U.S. 59 (1978), the Supreme Court found that plaintiffs who lived near a nuclear power plant could establish injury in fact without requiring any direct proof of injury. The Court found that that plant's emissions of waste heat into lake waters created injury, and that "the emission of non-natural radiation into appellees' environment would also seem a direct and present injury, given our generalized concern about exposure to radiation and the apprehension flowing from the uncertainty about the health and genetic consequences of even small emissions like those concededly emitted by nuclear power plants." Id. at 74. Notably, the Court did not require plaintiffs to show that the air and water they used actually contained radiation; it sufficed that radiation had been emitted in their vicinity and caused reasonable concern about health effects.

Likewise, in Sierra Club v. Cedar Point Oil Co., 73 F.3d 546 (5th Cir. 1996), citizen-plaintiffs asserted that defendant's discharge of oil-contaminated water to Galveston Bay was likely to cause harm to the Bay, and showed that they actually used the Bay, but produced no direct scientific or visual evidence of harm to the waters they used. The Fifth Circuit nevertheless found that citizen-plaintiffs had standing to sue. See id. at 557-58.[2]

Reliance on circumstantial evidence is especially appropriate in light of the general rule that "the threshold for the injury

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[2] One of citizen-plaintiffs' standing witnesses stated that he had observed "discolored water and foul odors." Id. at 557. However, the Fifth Circuit did not rely on the testimony of this witness because he did not "express[] an interest in the part of Galveston Bay where Cedar Point's discharge is located." Id. at 558 n.24.

requirement is fairly low." See id. at 557 n.23 (stating that "CWA cases from other circuits corroborate" this observation). Indeed, as the Third Circuit has said, in order to establish standing an injury "need not be large[;] an identifiable trifle will suffice." Public Interest Research Group v. Powell Duffryn Terminals, Inc., 913 F.2d 64, 72 (3d Cir. 1990) (citation omitted).

The panel also erred in disregarding plaintiffs' claim that they were subject to threatened injury. The evidence in this case focuses on the downstream transport of pollutants from defendant's facility. Many of the factors that may influence the rate of this transport, such as weather, are subject to natural variation. Standing law does not require that a plaintiff wait until actual injury occurs in order to sue. Instead, a plaintiff can sue on the basis of threatened harm, so long as the threat is "real and immediate, not conjectural or hypothetical." See generally Los Angeles v. Lyons, 461 U.S. 95, 101-02 (1983); see also Village of Elk Grove Village v. Evans, 997 F.2d 328, 329 (7th Cir. 1993) (finding standing because "[t]he Village is in the path of a potential flood" and "even a small probability of injury is sufficient to create a case or controversy").

III. THE PANEL IMPROPERLY DECLINED TO CONSIDER A COMMON-SENSE ANALYSIS OF TRACEABILITY, INSISTING INSTEAD ON SCIENTIFIC EVIDENCE

The panel found that plaintiffs had not shown that the pollutants in defendant's wastewater could travel four miles to affect the lake used by witness Wilson Shealy. The panel instead demanded better evidence, presumably in the form of scientific testimony. This finding was inconsistent with applicable caselaw, which permits a court to draw the reasonable conclusion that pollutants will travel such a short distance.

The traceability prong of the standing analysis requires only

that plaintiff show that its injury "fairly can be traced to the challenged action." Simon v. Eastern Ky. Welfare Rights Org., 426 U.S. 26, 41 (1976). This demands that plaintiffs show a "substantial likelihood that defendant's conduct caused plaintiff's harm"; this "is not equivalent to a requirement of tort causation." Powell Duffryn, 913 F.2d at 72. "In a Clean Water Act case, this likelihood may be established by showing that a defendant has 1) discharged some pollutant in concentrations greater than allowed by its permit 2) into a waterway in which the plaintiffs have an interest that is or may be adversely affected by the pollutant and that 3) this pollutant causes or contributes to the kinds of injuries alleged by the plaintiffs." Id. The panel cited this standard, but found that its second element was not met because plaintiffs had not shown that Gaston Copper's discharges had reached Shealy's lake. Slip op. at 7. The panel emphasized that the lake is four miles downstream of Gaston Copper's facility, and said that "even though water flows downstream, the distances between the source of the alleged pollution (Gaston Copper) and the waterways used by [plaintiff's standing witnesses are] simply too great to infer causation." Id.

The panel cited no authority for the proposition that four miles downstream is too far to infer traceability for the discharge by this defendant's facility. In fact, authority from other circuits strongly supports a finding of traceability. In several cases, including one in this Circuit, courts have found that citizens' group had standing to sue on the basis of a member's claim that he or she used a body of water in the general area of the discharge, but without requiring any showing that the member used the precise spot at which the discharge occurred. See Sierra Club v. Simkins Industries, Inc., 847 F.2d 1109, 1113 (4th Cir. 1988) (Patapsco River); see also Cedar Point Oil Co., 73 F.3d at 556, 558 n.24 (Galveston Bay); United States v. Metropolitan St. Louis Sewer District, 883 F.2d 54, 56 (8th Cir. 1989) (Mississippi River); Friends of the

Earth v. Consolidated Rail Corp., 768 F.2d 57, 61 (2d Cir. 1985) (Hudson River); see also Friends of the Earth, Inc. v. Chevron Chemical Co., 900 F. Supp. 67, 75 (E.D. Tex. 1995) (specifically finding that plaintiffs could sue on the basis of discharges two to four miles upstream from them). Many of these cases involved quite large bodies of water; nevertheless, these courts drew the reasonable inference that waterborne pollutants migrate, without demanding scientific proof that they had done so. Without distinguishing these cases, the panel in this case effectively demanded scientific proof of traceability.[3/]

Moreover, the panel ignored plaintiffs' evidence of traceability beyond simple proximity to Gaston Copper's facility. The waters of Shealy's lake have been tested, and found to contain the contaminants discharged by Gaston's facility. Although the tests involved were conducted before Gaston assumed ownership of the facility, they indicate that

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[3/] The panel cited the "thirty-one intervening ponds" between Gaston Copper's facility and Shealy's lake. Slip op. at 7. However, since these ponds taken together fit within a four-mile span, many of them are presumably quite insubstantial. In any case, the intervening ponds and creeks taken together are likely trivial in comparison to, for example, the Mississippi or Hudson River. Nor would the "three other tributaries" the panel cited as flowing into Shealy's lake necessarily do more than dilute Gaston Copper's pollutants.

It is true that, as the Fifth Circuit has said, "some waterways covered by the [Clean Water Act] may be so large that plaintiffs should rightfully demonstrate a more specific geographic or other causative nexus" in order to show standing. Cedar Point Oil Co., 73 F.3d at 558 n.24; cf. Lujan v. National Wildlife Federation, 497 U.S. 871, 889 (1990). The Fifth Circuit has found, for example, that a plaintiff could not assert standing solely on the basis of use of "a body of water located three tributaries and 18 miles downstream" from defendant's refinery, where plaintiff had offered no other evidence of injury. See Friends of the Earth v. Crown Central Petroleum, 95 F.3d 358, 361 (5th Cir. 1996). Here, by contrast, plaintiff is much closer to the source of the emissions, and has offered abundant additional evidence of injury.

pollutants discharged by Gaston's facility migrate to Shealy's lake. Since there is no evidence that the facility's operations have changed substantially, see slip op. at 11, it is reasonable to conclude that pollutants from Gaston Copper's facility have continued to reach Shealy's lake. Plaintiffs also presented a state official's statement that Gaston Copper's discharges travel to a water body 16.5 miles downstream, and evidence that Gaston Copper's discharges have polluted the lake adjacent to its facility.[4/]

The panel opinion's insistence on direct evidence of injury and rigorous proof of causation is contrary to well established law on standing. As the Third Circuit said in Powell Duffryn, "[a] plaintiff need not prove causation with absolute scientific rigor." 913 F.2d at 72. This circuit has endorsed that proposition. See Natural Resources Defense Council, Inc. v. Watkins, 954 F.2d 974, 980 n.7 (4th Cir. 1992). In the words

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[4/] Plaintiffs also presented evidence that Gaston Copper has repeatedly violated the terms of its permit and that Gaston Copper's discharges have many times been found in scientific tests to be toxic to small aquatic animals. Slip op. at 10. Together with the evidence that Gaston Copper's discharges were capable of traveling downstream to Shealy's lake, this amounts to significant circumstantial proof of injury in fact. Because plaintiffs did present proof of injury in fact, this case is readily distinguishable from Public Interest Research Group v. Magnesium Elektron, Inc., 123 F.3d 111 (3d Cir. 1997), a case relied on by the panel's opinion in this case. In Magnesium Elektron, the court found that the defendant had shown that releases from its facility did not injure, and may indeed have benefited, the environment. See id. at 123. Here, by contrast, plaintiffs have provided unrebutted circumstantial proof of injury.

Because plaintiffs have adequately shown that Shealy's lake was threatened by Gaston Copper's discharges, it also follows that plaintiffs may pursue their monitoring and reporting claims. See slip op. at 8 n.9; Sierra Club v. Simkins Industries, Inc., 847 F.2d 1109 (4th Cir. 1988). (Such a threat is not necessarily the only basis on which a citizen may have standing to pursue monitoring and reporting claims, but it is one valid basis.)

of the dissent, "the exhaustive exposition and proof" required by the panel "will create expensive, lengthy sideshows to the straightforward issue under the Clean Water Act - namely, whether a defendant is violating its discharge permit." Slip op. at 9. These proceedings would burden the courts and, contrary to Congressional intent, diminish the ability and incentives of citizens to bring enforcement actions.

CONCLUSION

For the foregoing reasons, the United States urges this Circuit to rehear the panel's decision in this case en banc. In the event that rehearing en banc is granted, the United States requests an opportunity to submit a more detailed amicus curiae brief addressing the issues in this case.

Respectfully Submitted,

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[Certificate of compliance with Fed. R.App. P. 32(a)(7) and certificate of service omitted]

IN THE SUPREME COURT
OF THE UNITED STATES

No. 98-822

FRIENDS OF THE EARTH, INC.,
Petitioners

v.

LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent

AFFIDAVIT OF ALICIA M. CLARK

Pursuant to 28 U.S.C. 1746 and under penalty of perjury, I state the following:

1. I am a paralegal with the law firm of Terris, Pravlik & Millian, LLP.

2. Terris, Pravlik & Millian are counsel for petitioners in the above-captioned action.

3. I was asked to identify facilities owned by Laidlaw Environmental Services, Inc. and its subsidiaries which have been issued NPDES permits. First, I conducted a search of the EPA Permit Compliance System (PCS) database for NPDES permits issued to facilities containing "Safety-Kleen" in their name. I searched the name Safety-Kleen because Laidlaw Environmental Services is currently doing business as Safety-Kleen Corp. The search produced a list of facilities and provided an address for each.

4. I compared the names of the facilities generated by the PCS search with the names of Laidlaw Environmental Services, Inc. subsidiaries listed in Laidlaw's August 1998 10-K, filed with the Securities and Exchange Commission. For facilities

that I could not match to any of the subsidiaries listed in the 10-K, I used the addresses provided by the PCS search and compared those addresses to the facilities listed on the Safety-Kleen Corp. web-site.

5. Based on the research described in paragraph 4, I made a list of facilities I had determined were both owned by Laidlaw Environmental Services, Inc. or one of its subsidiaries and held an NPDES permit. I requested that Carpenter Environmental Associates, Inc. conduct a full search of the PCS database to determine if any of the facilities on the list I provided had recent NPDES permit violations.

6. Once Carpenter Environmental Associates, Inc. provided me with a list of facilities with NPDES permit violations, I called Brandon Hemel, the membership and database coordinator for Friends of the Earth, to request that he search the Friends of the Earth membership database and determine if there are members residing in the areas surrounding the Laidlaw facilities with violations. I also asked the Sierra Club to search its membership database and determine if there are members residing in the areas surrounding the Laidlaw facilities with violations.

7. Using the list of members provided, I contacted as many members as possible to see if they have an interest in the waterways affected by the discharges from the Laidlaw facilities with violations. Members of both organizations have interests in the waterways affected by the discharges from the Laidlaw facilities with violations.

8. Carpenter Environmental Associates' review of the PCS database showed a reporting violation by Laidlaw's Roebuck facility. On August 4, 1999, I contacted Sandra Hercey of the South Carolina Department of Health and Environmental Control. Ms. Hercey informed me that in June she had issued a Notice of Violation to the Safety-Kleen (Roebuck), Inc. facility, located in Roebuck, South Carolina. The facility failed to submit its April 1999 seven-day toxicity test report, as

required by the NPDES permit issued to the facility. The April report was due at the end of May and, as of our phone conversation Ms. Hercey had still not received the report.

Pursuant to 28 U.S.C. 1746, I declare under penalty of perjury that the foregoing is true and correct. Executed this 13th day of August, 1999.

/s/ ALICIA M. CLARK

IN THE SUPREME COURT
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No. 98-822

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LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent

AFFIDAVIT OF BRUCE A. BELL

Pursuant to 28 U.S.C. 1746 and under penalty of perjury, I state the following:

1. I am currently president of Carpenter Environmental Associates, Inc. of Ramsey, New Jersey, an environmental science and engineering firm.

2. I have appeared as an expert witness for the petitioners in the above-captioned action.

3. My firm was contacted by Alicia Clark , a paralegal for the law firm of Terris, Pravlik & Millian, LLP, who requested that Carpenter Environmental Associates, Inc. conduct a search of the EPA Permit Compliance System database to determine if any of the facilities owned by Laidlaw Environmental Services, Inc. or its subsidiaries had recent NPDES permit violations.

4. Carpenter Environmental Associates, Inc., using the facilities NPDES permit numbers, conducted a search of the EPA Permit Compliance System database. The following four facilities had recent NPDES permit violations: Safety-Kleen Corp., Little Rock, Arkansas; Safety-Kleen Corp., Lexington, Kentucky; Safety-Kleen (Baton Rouge), Inc., Baton Rouge,

Louisiana; Safety-Kleen (Deer Park), Inc., Deer Park, Texas.

Pursuant to 28 U.S.C. 1746, I declare under penalty of perjury that the foregoing is true and correct. Executed this 10th day of August, 1999.

/s/ BRUCE A. BELL

IN THE SUPREME COURT
OF THE UNITED STATES

No. 98-822

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Petitioners

v.

LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent

AFFIDAVIT OF BRANDON HEMEL

Pursuant to 28 U.S.C. 1746 and under penalty of perjury, I state the following:

1. I am the membership and database coordinator for Friends of the Earth.

2. I was contacted by Alicia Clark, a paralegal for the law firm of Terris, Pravlik & Millian, LLP, who requested that I determine whether Friends of the Earth had members living in the vicinity of facilities owned by Laidlaw Environmental Services, Inc. or its subsidiaries.

3. I conducted a search of the Friends of the Earth membership database and determined that there are a significant number of Friends of the Earth members living in the areas surrounding the Laidlaw facilities with recent NPDES violations.

Pursuant to 28 U.S.C. 1746, I declare under penalty of perjury that the foregoing is true and correct. Executed this 6th day of August, 1999.

/s/ BRANDON HEMEL

IN THE SUPREME COURT
OF THE UNITED STATES

No. 98-822

FRIENDS OF THE EARTH, INC.,
Petitioners

v.

LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent

AFFIDAVIT OF KEVIN KOSIK

Pursuant to 28 U.S.C. 1746 and under penalty of perjury, I state the following:

1. I am the Director of Member Services and Development Operations for Sierra Club.

2. Sierra Club was contacted by Alicia Clark, a paralegal for the law firm of Terris, Pravlik & Millian, LLP, who requested that Sierra Club determine whether it had members living in the vicinity of facilities owned by Laidlaw Environmental Services, Inc. or its subsidiaries.

3. I conducted a search of the Sierra Club membership database and there are many Sierra Club members living in the areas surrounding the Laidlaw facilities with recent NPDES permit violations.

Pursuant to 28 U.S.C. 1746, I declare under penalty of perjury that the foregoing is true and correct. Executed this 6th day of August, 1999.

/s/ KEVIN KOSIK